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**IN THE
Supreme Court of the United States
OCTOBER TERM, 1995**

JAMES O'CONNOR,
Petitioner,
v.

CONSOLIDATED COIN CATERERS CORPORATION,
Respondent.

**On Writ of Certiorari to the
United States Court of Appeals
for the Fourth Circuit**

**BRIEF AMICUS CURIAE OF THE
EQUAL EMPLOYMENT ADVISORY COUNCIL
IN SUPPORT OF RESPONDENT**

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**BRIEF AMICUS CURIAE OF THE
EQUAL EMPLOYMENT ADVISORY COUNCIL
IN SUPPORT OF RESPONDENT**

The Equal Employment Advisory Council (EEAC) respectfully submits this brief as *amicus curiae*. The written consent of all the parties have been filed with the Clerk of this Court. The brief urges affirmance of the decision below and thus supports the position of the respondent.

INTEREST OF THE AMICUS CURIAE

The Equal Employment Advisory Council is a voluntary association of employers organized in 1976 to promote sound approaches to the elimination of employment discrimination. Its membership includes over 300 major U.S. corporations, as well as several

associations which themselves have hundreds of corporate members. EEAC's directors and officers include many of industry's leading experts in the field of equal employment opportunity. Their combined experience gives the Council a unique depth of understanding of the practical, as well as legal, considerations relevant to the proper interpretation and application of equal employment policies and requirements. EEAC's members are firmly committed to the principles of nondiscrimination and equal employment opportunity.

Substantially all of EEAC's members, and the constituents of its trade association members, are subject to the provisions of the Age Discrimination in Employment Act of 1967, 29 U.S.C. § 621 *et seq.* (ADEA), and Title VII of the Civil Rights Act of 1964, as amended (42 U.S.C. §§ 2000e *et seq.*) (Title VII). As such, EEAC's members have a direct interest in the issue presented for the Court's consideration regarding the application of the *McDonnell Douglas* standards for a prima facie case in the age discrimination context. The Fourth Circuit held that the plaintiff in this case had not met the threshold requirement of proving that he was performing at a level that was substantially equivalent to the lowest level of the employees who were retained during a corporate restructuring. Indeed, the court found that those retained were performing at a significantly higher level than the plaintiff. The plaintiff, however, argues that proof of relative qualifications should not be a part of his prima facie burden—a position that is contrary to the ADEA and the decided cases.

Because of its interest in issues involving the standard of proof in Title VII cases, EEAC has filed

briefs as *amicus curiae* in numerous cases before this Court, including *Int'l Bhd. of Teamsters v. United States*, 431 U.S. 324 (1977); *East Tex. Motor Freight Sys. v. Rodriguez*, 431 U.S. 395 (1977); *Furnco Constr. Corp. v. Waters*, 438 U.S. 567 (1978); *Texas Dep't of Community Affairs v. Burdine*, 450 U.S. 248 (1981); *Connecticut v. Teal*, 457 U.S. 440 (1982); *U.S. Postal Serv. Bd. of Governors v. Aikens*, 460 U.S. 711 (1983); *Watson v. Ft. Worth Bank & Trust*, 487 U.S. 977 (1988), and *Wards Cove Packing Co. v. Atonio*, 490 U.S. 642 (1989).

Furthermore, a number of the other cases in which EEAC has participated have involved the proper interpretation of the ADEA. See, e.g., *Hazen Paper Co. v. Biggins*, 113 S. Ct. 1701 (1993); *Trans-World Airlines, Inc. v. Thurston*, 469 U.S. 111 (1985); *Lorillard, Div. of Loew's Theatres, Inc. v. Pons*, 434 U.S. 575 (1978); *McLaughlin v. Richland Shoe Co.*, 486 U.S. 128 (1988); *Public Employees Retirement System v. Betts*, 492 U.S. 158 (1989); and *Shell Oil Co. v. Dartt*, 434 U.S. 99 (1977). Because of its experience, EEAC is well-suited to brief the Court on the importance of the issues here beyond the immediate concerns of the parties. This brief brings matter to the Court's attention that has not already been provided by the party briefs.

STATEMENT OF THE CASE

The plaintiff, James O'Connor, brought this lawsuit pursuant to the Age Discrimination in Employment Act of 1967 (ADEA), 29 U.S.C. §§ 621-634. He contends that he was terminated because of his age by his employer, Consolidated Coin Caterers Corp., (Consolidated), which is a division of Canteen Corporation (Canteen). The district court granted

summary judgment in favor of Consolidated because O'Connor had failed to establish a prima facie case. The district court's ruling was affirmed by the Fourth Circuit.

Consolidated operates cafeterias and vending machines for industrial plants, businesses, schools and health care facilities. (Pet. App. at 2-3).¹ O'Connor was the supervisor of one of Consolidated's regional operations. In 1990, Canteen restructured its operations and changed the makeup of its operating territories by combining them into larger territories. (Pet. App. at 3-6).

As a result of this reorganization, two supervisors were adversely affected. O'Connor (age 56) was discharged; and Allen Hunter (age 57) was reassigned. Canteen chose Ted Finnel (age 40) and Mike Kiser (age 35) to manage the newly-expanded districts. (Pet. App. at 5). According to Canteen, Finnel and Kiser were selected to manage the new districts because "there were substantially greater management responsibilities than had been required under the previous organizations and the new districts were substantially larger in geographic area." (Pet. App. 5).

Finnel and Kiser were selected because their former direct supervisor "had first-hand knowledge of both men's work and abilities, and considered them competent to handle the greater responsibilities and larger geographic territory." (*Id.*) Consolidated did not select plaintiff O'Connor because he was slow in responding to problem accounts in his old territory, and the new territories "served a greater number of

¹ "Pet. App." references are to the appendix to O'Connor's Petition for Writ of Certiorari.

customers, entailed more accounts and covered a substantially larger geographic territory." (*Id.* at 5-6). "Given that O'Connor was slow with his already reduced territory [i.e., from six to three geographic units], Consolidated concluded that he could not handle an even larger district." (*Id.* at 6).

O'Connor asserted instead that he was discharged because of his age. The district court, however, granted Consolidated's motion for summary judgment, and that ruling was affirmed by the Fourth Circuit. The Fourth Circuit stated that in order to succeed, the plaintiff has to prove by a preponderance of the evidence that "but for Consolidated's motive to discriminate against him because of his age, he would not have been discharged." (Pet. App. at 8).

Because O'Connor lacked direct proof of age discrimination, he attempted to use the indirect method to establish a prima facie case. In this regard, the Fourth Circuit used the following test patterned after *McDonnell Douglas Corp. v. Green*, 411 U.S. 792 (1973), but modified for age discrimination cases. Under this test, the plaintiff can establish a prima facie case if he can prove:

- (1) the employee was protected by the ADEA;
- (2) he was selected for discharge from a larger group of candidates;
- (3) *he was performing at a level substantially equivalent to the lowest level of those of the group retained*; and
- (4) the process of selection produced a residual workforce containing some unprotected persons *who were performing at a level lower than that at which he was performing*.

(Pet. App. at 9-11 (emphasis added)).

Although O'Connor met the first two standards, the Fourth Circuit held that he did not meet the

requirements of the third prong applicable to age discrimination termination/replacement and reduction-in-force cases:

The third element requires that O'Connor perform at a level substantially equivalent to the lowest level of those of the group retained. Essentially, this element demands that O'Connor perform his job satisfactorily, thereby meeting Consolidated's legitimate expectations. According to Consolidated, O'Connor cannot satisfy this element because even prior to the reorganization that gave rise to the new district manager positions, O'Connor was slow in dealing with problem accounts, his territorial responsibilities had already been greatly reduced, and he experienced a problem with food delivery in an unrefrigerated truck.

(Pet. App. at 11-12).

The court stated that O'Connor had failed to prove that Consolidated did not treat age neutrally in discharging him, especially because O'Connor was not comparable to Kiser or Finnel who had performed their jobs as expected, whereas O'Connor's territory was reduced prior to his termination due to his slow response to problem accounts. (Pet. App. at 13-14). Thus, the decision to discharge O'Connor was not based on age discrimination, "but rather on the age-neutral reason that O'Connor's performance did not recommend him for the job, while Finnel and Kiser's did." (Pet. App. at 14).

The Fourth Circuit then stated that the fourth prong of the prima facie test required O'Connor to prove that "persons outside the protected class [i.e., persons age-39 or less] were retained in the same position." (Pet. App. at 13). This ruling has been

seized upon by the plaintiffs in framing the question to be decided by the Court. But, the Fourth Circuit also noted that O'Connor could not meet the third prong of the requirements for a prima facie case, i.e., he did not show that "he was performing a level substantially equivalent to the lowest level of those of the group retained." (Pet. App. at 11). Therefore, the presence or absence of a comparator employee outside the age group protected by the ADEA is not as important a factor as O'Connor argues here, since he lacked the relative qualifications to allow him to establish a prima facie case in any event.

Thus, the *amicus curiae* will address the Fourth Circuit's ruling that in establishing a prima facie case, the plaintiff must meet the burden of proving that his performance level was substantially equivalent to that of the employees who were retained.

SUMMARY OF ARGUMENT

The plaintiff argues to this Court that he should be relieved of the prima facie burden of proving that he was performing at a level substantially equivalent to those who were retained during a corporate restructuring. The Fourth Circuit clearly was correct in rejecting that position.

The central purpose of the *McDonnell Douglas* standards is to eliminate one of the most common nondiscriminatory reasons for the discharge of an individual in a protected class: "the absolute or relative lack of qualifications" for the job. *Int'l Bhd. of Teamsters v. United States*, 431 U.S. 324, 358 n.44 (1977). To establish a prima facie case, the plaintiff, at minimum, should have to prove that he "was performing to his employer's legitimate expectations." *Collier v. Budd Co.*, 66 F.3d 886, 889 (7th

Cir. 1995). Also, the plaintiff should not be able to establish a prima facie case unless he can establish that those who were retained in the position that he wanted were performing at a lower level than the plaintiff. *Mitchell v. Data General Corp.*, 12 F.3d 1310, 1315 (4th Cir. 1993). Because O'Connor failed to establish his qualifications, the Fourth Circuit properly dismissed his suit.

In reading the qualifications requirement out of the *McDonnell Douglas* standards, the plaintiff is attempting to prove his initial case on the basis that he was terminated and younger workers were retained. A mere age difference, however, is not sufficient to fulfill the plaintiff's burden.

But it simply cannot be enough in a termination case that the employer merely retain[s] younger employees. If that were enough, practically any terminated employee in a protected class could make out a prima facie case of age discrimination, since most companies will retain at least some employees under age 40.

Gadsby v. Norwalk Furniture Corp., No. 95-1507, 1995 U.S. App. LEXIS 35229, at *26 (7th Cir. Dec. 13, 1995).

Finally, without a qualification requirement, plaintiffs would be encouraged to rely only on age-differential statistics in an attempt either to prove class-wide discrimination or to bolster an argument that an individual plaintiff was a victim of age discrimination. In other words, plaintiffs would be encouraged to use "disparate impact" statistics to prove age discrimination. This Court has never authorized that theory under the ADEA, and several justices and lower courts have opposed its use. See *Hazen Paper Co. v. Biggins*, 113 S.Ct. 1701, 1706, 1710

(1993); *Ellis v. United Airlines, Inc.*, No. 94-1351 and 95-1034, 1996 U.S. App. Lexis 120, at *23-34 (10th Cir. 1996) (Rejecting disparate impact proof under the ADEA).

Because the plaintiff failed to demonstrate that he possessed qualifications sufficiently equivalent to the retained employees, he did not sustain the burden necessary to prove a prima facie case.

ARGUMENT

I. TO ESTABLISH A PRIMA FACIE CASE OF AGE DISCRIMINATION IN THE CONTEXT OF A CORPORATE REORGANIZATION, THE PLAINTIFF MUST ESTABLISH THAT S/HE WAS PERFORMING AT A LEVEL SUBSTANTIALLY EQUIVALENT TO THOSE RETAINED.

A. Contrary to the Numerous Cases Applying *McDonnell Douglas v. Green*, the Plaintiff Here Is Attempting to Let an Age Difference Establish a Prima Facie Case and to Eliminate the Longstanding *Prima Facie* Requirement That the Plaintiff Establish Performance Credentials That Are Equivalent or Superior to the Comparators Who Were Retained.

The ostensible issue that the plaintiff presented for review by this Court is whether a plaintiff in an age discrimination lawsuit must establish: "that he was replaced by a younger person or that a younger person was retained in a similar position, or must show that he was replaced by someone outside the protected class." (Pet. at i). Indeed, the plaintiff and supporting *amici curiae* spend a great deal of effort arguing various extreme hypotheticals posing whether a 65-year old discharged plaintiff could be the victim of age discrimination when replaced either by a 39-year old (i.e., outside the protected group), or a 41-year old (i.e., inside the protected age group).

Actually, the plaintiff is attempting to have this Court adopt an improper *prima facie* test in which *an age difference alone would suffice* to establish a *prima facie* case, and any consideration of relative qualifications would be dropped from the plaintiff's burden of proof. The question presented by the petitioner presumes that a *prima facie* case could be shown by age differences alone. Also, the petitioner argues that:

Any requirement that characteristics of the replacement be shown as part of the *prima facie* case will in effect abolish the presumptive character of the *prima facie* case, and leave discrimination complainants with the very burden of making out a traditional circumstantial case that it was the purpose of the *prima facie* case to remove.

(Br. for Pet'r at 16, 21).

Thus, in arguing the issue presented, the petitioner subtly has tried to shift the inquiry in such a way as to avoid one of the principal findings underpinning the ADEA, which is to prevent the setting of arbitrary age limits "regardless of potential for job performance." 29 U.S.C. § 621(a)(2). Also, the petitioner's position is contrary to the central purpose of the *McDonnell Douglas* standard, that is, to eliminate one of most common nondiscriminatory reasons for the discharge of an individual in a protected class: "the absolute or relative lack of qualifications" for the job. *Int'l Bhd. of Teamsters v. United States*, 431 U.S. 324, 358 n. 44 (1977).

This standard requires the plaintiff to prove "that the employer, after having rejected the plaintiff's application for a job or promotion, continued to seek applicants *with qualifications similar to the plain-*

tiff's." *Watson v. Ft. Worth Bank & Trust*, 487 U.S. 977, 987 (1988). *A fortiori*, if the persons retained were more qualified than the plaintiff, then the plaintiff's initial burden cannot be met.

Of course, if this traditional route is followed in this case, the plaintiff will lose. As both the district court and Fourth Circuit pointed out, the evidence shows that O'Connor cannot prove that he was as qualified as those employees who were retained. Indeed, his past performance supervising a significantly less complex territory indicated that his qualifications were substantially inferior to those of the employees who were retained and given expanded responsibilities.

In essence, the plaintiff wants this Court to let him establish a *prima facie* case without any consideration of how his qualifications stack up against those who were retained, even though this is the only meaningful way to apply the *McDonnell Douglas* test. Under O'Connor's position, the only burden the plaintiff should be required to meet is to show that the employees who were retained were sufficiently younger than he was. As we show below, however, the Court should reject this attempt to rewrite the *McDonnell Douglas* test and should clarify that an age difference alone is not sufficient to allow the plaintiff to proceed in court.

B. To Establish an ADEA Prima Facie Case, the Plaintiff Bears the Burden of Proving Qualifications for the Job in Question.

Title VII of the Civil Rights Act of 1964, 42 U.S.C. § 2000e *et seq.*, prohibits discrimination in employment on the basis of race, color, religion, sex or national origin. Similarly, the Age Discrimination in

Employment Act of 1967, 29 U.S.C. § 621 *et seq.*, prohibits discrimination on the basis of age. 29 U.S.C. § 623. Neither statute, however, authorizes recovery merely because an employer's legitimate exercise of managerial discretion adversely affects a member of a protected group.² Both Title VII and the ADEA provide a remedy only when the action complained of was taken "because of" the illegal criterion.³ Thus,

Whatever the employer's decisionmaking process, a disparate treatment claim cannot succeed unless the employee's protected trait actually played a role in that process and had a determinative influence on the outcome.

Hazen Paper Co. v. Biggins, 113 S. Ct. 1701, 1706 (1993).

In a series of decisions beginning with *McDonnell Douglas Corporation v. Green*, 411 U.S. 792 (1973), and continuing through *St. Mary's Honor Ctr. v. Hicks*, 113 S. Ct. 2742 (1993), this Court has developed a method to allow a plaintiff in appropriate cases to demonstrate disparate treatment and violation of employment discrimination laws "despite the

² "The ADEA is not a vehicle for reviewing the propriety of business decisions. . . . [t]his court will not second guess business decisions made by employers, in the absence of some evidence of impermissible motives." *Faulkner v. Super Valu Stores, Inc.*, 3 F.3d 1419, 1427 (10th Cir. 1993).

³ Under § 703(a) of Title VII, it is an unlawful employment practice for an employer to discriminate against an employee "because of such individual's race, color, religion, sex or national origin." 42 U.S.C. § 2000e-2 (emphasis added). The ADEA prohibits discrimination against any individual "because of such individual's age." 29 U.S.C. § 623(a) (emphasis added).

unavailability of direct evidence." *Trans-World Airlines, Inc. v. Thurston*, 469 U.S. 111, 121 (1985) (quoting *Loeb v. Textron, Inc.*, 600 F.2d 1003, 1014 (1st Cir. 1979)). Recognizing that "[t]here will seldom be 'eyewitness' testimony as to the employer's mental processes," *U.S. Postal Serv. Bd. of Governors v. Aikens*, 460 U.S. 711, 716 (1983), so that direct, "smoking gun" evidence is often unavailable, this Court has instead developed "a sensible, orderly way to evaluate the evidence in light of common experience as it bears on the critical question of discrimination." *Furnco Constr. Corp. v. Waters*, 438 U.S. 567, 577 (1978).

McDonnell Douglas established the basic order of proof. As this Court explained in *Burdine*, the plaintiff first must establish a *prima facie* case; the employer then is given an opportunity to "articulate" some legitimate, nondiscriminatory reasons for its actions; and, if that is done, the plaintiff then must prove that the employer's stated reasons were "pretextual." *Burdine*, 450 U.S. at 252-53. The "ultimate burden" of persuading the trier of fact that the defendant intentionally discriminated against the plaintiff "remains at all times with the plaintiff." 450 U.S. at 253.

The *McDonnell Douglas* decision enumerated the generic factors that make up the plaintiff's *prima facie* case of discrimination. Thus the plaintiff must prove:

- (i) that he belongs to a racial minority; (ii) that he applied and was *qualified* for a job for which the employer was seeking applicants; (iii) that, despite his *qualifications*, he was rejected; and that, after his rejection, the position remained open and the employer continued to seek

applicants from persons of complainant's *qualifications*.

411 U.S. at 802 (emphasis added). The specific requirements, however, can vary from case to case, depending upon the employment action and statute at issue. *McDonnell Douglas*, 411 U.S. at 802 n.13.

The plaintiff, however, must satisfy one basic element, no matter the context. This method of establishing a *prima facie* case is intended to eliminate "the most common non-discriminatory reasons for the plaintiff's rejection," *Burdine*, 450 U.S. at 254, such as the plaintiff's *lack of qualifications* or the unavailability of the position. Here the plaintiff's "lack of qualifications" is crucial to the case.

In applying the *McDonnell Douglas* standard to ADEA cases involving reductions in force of reorganizations, the courts have recognized that the primary issue is the "relative performance" of the plaintiff and retained employees, since many of the employees may have been meeting existing performance standards before the employer decided to eliminate positions and choose among many previously qualified candidates. *Mitchell v. Data General Corp.*, 12 F.3d 1310, 1315 (4th Cir. 1993).

In such a situation, the plaintiff, at minimum, should have to prove that he "was performing to his employer's legitimate expectations." *Collier v. Budd Co.*, 66 F.3d 886, 889 (7th Cir. 1995). "[T]he more appropriate concern in a discharge case is job performance, into which the question of qualifications merges." *Oxman v. WLS-TV*, 846 F.2d 448, 452 n.2 (7th Cir. 1988). And surely, the plaintiff also should not be able to establish a *prima facie* case if he was performing at lower level than the employees who

were retained. *Mitchell v. Data General*, 12 F.3d at 1315. Thus, the Fourth Circuit's test properly requires the plaintiff to prove that his performance was substantially equivalent to other employees retained during a corporate restructuring or reorganization.⁴

This construction is supported by this Court's major decisions construing *McDonnell Douglas*, which emphasize that simple membership in a protected group does not by itself establish a *prima facie* case, and that "qualifications" for the position in question is crucial to surviving a motion for summary judgment or a motion to dismiss. For example, the *Griggs* decision stated:

Senators Case of New Jersey and Clark of Pennsylvania, comanagers of the bill on the Senate floor, issued a memorandum explaining that the proposed Title VII expressly protects the employer's right to insist that any prospective applicant, Negro or white, *must meet the applicable job qualifications*. Indeed the very purpose of Title VII is to promote hiring on the basis of job qualifications rather than on the basis of race or color.

Griggs v. Duke Power Co., 401 U.S. 424, 434 (1971) (emphasis in the original). *Griggs* also stated that "[a]n employer may set his qualifications as high as he likes, *id.* at 434 n.11, . . . and that selection proce-

⁴ See also *Dietrich v. Canadian Pac. Ltd.*, 66 Empl. Prac. Dec. (CCH) ¶ 43,721 at 83,569-83,570 (Minn. 1995) ("The plaintiff offers no evidence that the employees who absorbed her duties were in fact less qualified. . . . 'the fact that a younger worker is retained after a reduction or reorganization in force is insufficient in itself to establish a *prima facie* case of age discrimination.'")

dures are not forbidden if they "are demonstrably a reasonable measure of job performance." *Id.* at 435.

Picking up on the qualifications theme, the *McDonnell Douglas* decision cited further language from *Griggs* emphasizing the importance of qualifications:

Congress did not intend by Title VII, however, to guarantee a job to every person *regardless of qualifications*. In short, the Act does not command that any person be hired simply because he was formerly the subject of discrimination, or because he is a member of a minority group.

411 U.S. at 801, citing *Griggs*, 401 U.S. at 430-31.

And as noted above, the *Teamsters* decision stated that the employer's decision to reject a person who belongs to a racial minority does not show that the rejection was racially based. Beyond that, the *McDonnell Douglas* decision "does demand that the alleged discriminatee *demonstrate* at least that his rejection did not result from one of the most common legitimate reasons on which an employer might rely to reject a job applicant: an absolute or *relative* lack of qualifications. . . ." *Teamsters*, 431 U.S. at 358 n.44.

In *Burdine*, this Court reasserted the strong emphasis on qualifications. That decision stated that "[t]he plaintiff must prove by a preponderance of the evidence that she applied for an available position *for which she was qualified*." 450 U.S. at 253. Similarly, in *Price Waterhouse v. Hopkins*, 490 U.S. 228, 243-44 (1989), the Court set out at some length Congress' intent that the inquiry would "focus on the *qualifications* of the applicant or employee. The intent to drive employers to focus on *qualifications*

rather than on race, [etc.], is the theme of a good deal of the statute's legislative history." *Id.* (emphasis added). Thus, while a forbidden characteristic may not play a part in the employer's decision, "[a]ny other criterion or qualification for employment is not affected by this title." *Id.* at 244.

As the discussion in this section demonstrates, O'Connor's attempts to remove the relative qualifications issue from the plaintiff's *prima facie* burden is contrary to the intent of Congress and the many decisions of this Court.

C. An Age Differential Between the Plaintiff and the Retained Employees Is Not Sufficient to Establish a Prima Facie Case of Age Discrimination.

As previously explained, if relative qualifications were not part of the plaintiff's *prima facie* burden, then the plaintiff would find it much easier to argue that an age differential alone is sufficient to establish an initial case of age discrimination. O'Connor ultimately is relying on the fact that he was terminated and that younger supervisors were not.

But it simply cannot be enough in a termination case that the employer merely retain[s] younger employees. If that were enough, practically any terminated employee in a protected class could make out a *prima facie* case of age discrimination, since most companies will retain at least some employees under age 40. Accordingly, [the plaintiff] has failed to satisfy even the more permissive formulation of the fourth factor of the *prima facie* case.

Gadsby v. Norwalk Furniture Corp., No. 95-1507, 1995 U.S. App. LEXIS 35229, at *26 (7th Cir. Dec. 13, 1995).

This Court's recent decision in *Hazen Paper Co. v. Biggins*, 113 S. Ct. 1701 (1993), provides analogous support for the proposition that age-related suppositions often are insufficient to raise an inference of impermissible age discrimination. Walter Biggins was discharged in that case because his employer concluded that he was doing unauthorized business with competitors. Although Biggins was not replaced by a younger worker, he tried to use an age-related "proxy", claiming that the real reason he was fired was to prevent his pension from vesting. The Court disagreed, however, holding that there will be instances when no age discrimination is found even though the motivating factor may be correlated with age, as often is the case with pension eligibility. 113 S. Ct. at 1707.⁵ Certainly, if a prima facie case cannot be established when the employer relies on a factor that may be correlated with age, then a plaintiff cannot establish a prima facie case based upon age differentials alone without any proof connecting the employer's decision with age-related factors.

The reasons for thwarting attempts to base age discrimination suits on age comparisons were set out several years ago by the Sixth Circuit. *Laugesen v. Anaconda Co.*, 510 F.2d 307 (6th Cir. 1975). There, the court stated:

It is also evident from the [House] Report that Congress did not desire that the [Age Discrimi-

⁵ Similarly, the courts have rejected arguments that decisions based on higher salary prove age discrimination, because a correlation between age and higher salary often can be shown. *EEOC v. Francis W. Parker Sch.*, 41 F.3d 1073 (7th Cir. 1994), cert. denied, 115 S.Ct. 2577 (1995); *Thomure v. Phillips Furniture Co.*, 30 F.3d 1020 (8th Cir. 1994); and *Rosen v. Columbia Univ.*, 68 Fair Empl. Prac. Cas. (BNA) 1190 (S.D.N.Y. 1995).

nation in Employment] Act be applied formalistically:

"The case by case basis should serve as the underlying rule in the administration of the legislation. Too many different types of situations in employment occur for the strict application of general prohibitions and provisions."

The foregoing language suggests that perhaps the more strict approach which is evident in the treatment of a Title VII race discrimination case in *McDonnell Douglas v. Green* may not be desirable here. *The progression of age is a universal human process. In the very nature of the problem, it is apparent that in the usual case, absent any discriminatory intent, discharged employees will more often than not be replaced by those younger than they, for older employees are constantly moving out of the labor market, while younger ones move in. This factor of progression and replacement is not necessarily involved in cases involving the immutable characteristics of race, sex and national origin. Thus, while the principal thrust of the Age Act is to protect the older worker from victimization by arbitrary classification on account of age, we do not believe that Congress intended automatic presumptions to apply whenever a worker is replaced by another of a different age.*

510 F.2d at 313 n.4 (emphasis added).⁶

A commentator has examined this reasoning further, providing a hypothetical example of why age alone is not sufficient to establish a prima facie case:

⁶ See also Barbara L. Schlei & Paul Grossman, *Employment Discrimination Law* 498-99 (BNA 2d ed. 1983).

This natural process of replacement by younger employees should be considered when determining what a plaintiff must show to establish a prima facie case in ADEA discharge cases. *Since younger workers will normally replace older workers, the establishment of a prima facie case should not turn upon a showing of this fact of replacement alone.* Adoption of such a rule could lead to absurd results. For instance, a fired 68 year old would be able to establish a prima facie case of age discrimination merely by showing he was replaced by someone younger. The chance of his being replaced by an older person is slight when one considers the available labor pool of people over 68. Consequently, allowing the presumption of discriminatory intent appears to be inappropriate for it effectively places the burden on the employer to show nondiscriminatory motive, even though the plaintiff had shown nothing from which discrimination could reasonably be inferred.

* * * *

In the example given of the discharged 68 year old, it is evident that replacement by someone younger does not support an inference that his discharge was "more likely than not" based on age. *Replacement by one younger also would not be the basis, "more likely than not," in less extreme cases since the natural progression of younger people into the work force is no less a reality.*

Mary Comins Sutton, Comment, *Should McDonnell Douglas Apply in ADEA Cases? The Sixth Circuit's Answer*, 15 Toledo L.R. 1230-31 (Spring, 1984) (emphasis added).

Moreover, should the Court permit plaintiffs to use age differentials to establish a prima facie case of age discrimination, such a ruling might give more

impetus to attempts by the plaintiffs bar to use age-differential statistics to prove either class-wide discrimination or bolster an argument that an individual plaintiff was the victim of age discrimination.

In other words, a prima facie case standard that relieves the plaintiff of any proof of relative qualifications could encourage additional use of the "disparate impact" theory in age discrimination suits. Although this Court has never decided whether a disparate impact theory of liability is available under the ADEA (*see Hazen Paper Company v. Biggins*, 113 S. Ct. 1701, 1706 (1993)), several justices have questioned its use. *See Hazen Paper*, 113 S. Ct. at 1710 (Justice Kennedy, joined by Chief Justice Rehnquist and Justice Thomas); and *Markham v. Geller*, 451 U.S. 945 (1981) (Justice Rehnquist, dissenting from denial of certiorari). Indeed, the Tenth Circuit recently rejected use of the disparate impact theory under the ADEA. *Ellis v. United Airlines, Inc.*, No. 94-1351 and No. 95-1034, 1996 U.S. App. LEXIS 120, at *23-34 (10th Cir. 1996).

One commentator recognized this danger and cautioned that age-related statistics are not amenable to the disparate impact theory. Even H. Pontz, Comment, *What a Difference the ADEA Makes: Why Disparate Impact Theory Should Not Apply to the Age Discrimination in Employment Act*, 74 N.C.L. Rev. 266, 315 (1995). After discussing *Laugesen v. Anaconda Co.*, the Comment stated:

Furthermore, statistics, often the key to disparate impact cases, may be less probative in age cases because of this natural progression in the workplace, whereby older workers retire and younger workers replace them. Therefore, statistics tending to show that older workers are being replaced by younger workers, taken alone, would

at best be extremely tenuous evidence of age discrimination, and any showing of a statistical disparity may receive less weight in an ADEA case than it would under Title VII. But since statistics are the linchpin of disparate impact claims, *this inherent conflict between the functioning of disparate impact theory and the realities of the real labor market illustrate the inherent flaw in trying to include disparate impact theory under the ADEA.*

Id. at 315-316. Accord, Note, *Age Discrimination and the Disparate Impact Theory*, 34 Stan. L.R. 837 (1982). Thus, this case might provide an opportunity for the Court to indicate that age-related statistics alone will not be sufficient to support or bolster a prima facie case age discrimination.

For the reasons stated herein, the Court should clarify the plaintiff's ADEA burden of proof and require the plaintiff to prove that he was performing at the same or higher level than the retained employees as an essential part of his prima facie burden.

CONCLUSION

For the reasons stated herein, EEAC respectfully submits that the decision of the Fourth Circuit below should be affirmed.

Respectfully submitted,

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